

considered more favourable. **Example:** In the case of the smartphone project, with a payback period of 0.5 years, it means that the initial investment will be recovered within six months.

- 7) **Net Present Value (NPV):** NPV (Net Present Value) evaluates the present value of future cash flows minus the initial investment. A positive NPV indicates that the project is expected to generate more cash than the initial investment. **Example:** In the case of the smartphone project, with an NPV of approximately ₹3,18,72,197, it suggests that the project is financially appealing.
- 8) **Internal Rate of Return (IRR):** IRR (Internal Rate of Return) is the discount rate at which the NPV of the project becomes zero. It represents the project's rate of return. **Example:** in the given example, an IRR of approximately 18%, signifies the expected return on the investment.

22.6.4 Computation of Capital Investment

The computation of capital investment required involves calculating the total amount of funds needed to initiate and implement a specific project or investment opportunity. It encompasses various components and expenses that contribute to the overall cost of the project. The capital investment required can be calculated using the following steps:

Step 1: Identify Project Components:

When computing the capital investment required, the first step is to identify all the components and expenses that are essential for the successful initiation and implementation of the project. These components could include:

- 1) **Fixed Assets:** This involves the cost of acquiring long-term assets such as machinery, equipment, land, buildings, vehicles, and any other infrastructure needed for the project.
- 2) **Working Capital:** It refers to the funds required to finance the day-to-day operations of the project, including inventory, raw materials, and operational expenses.
- 3) **Initial Setup Costs:** This category includes expenses related to project planning, feasibility studies, legal fees, permits, licenses, and any other preliminary costs necessary to get the project off the ground.
- 4) **Research and Development (R&D):** For projects that involve product development or innovation, R&D expenses must be accounted for.
- 5) **Marketing and Promotion:** For projects that require market entry or product promotion, marketing and promotional expenses need to be considered.

Step 2: Determine Costs:

After identifying the project components, the next step is to determine the costs associated with each of them. Companies can use various methods to ascertain these costs, including obtaining quotations from suppliers, conducting market research, or relying on historical data.

Example 22.5: Let us assume the following costs for a manufacturing project:

Fixed Assets: Machinery – ₹5,00,000, Equipment – ₹3,00,000, Land – ₹10,00,000, Building – ₹20,00,000, Working Capital: ₹8,00,000, Initial Setup Costs: ₹2,00,000, Research and Development: ₹1,50,000, Marketing and Promotion: ₹1,00,000

Step 3: Sum the Costs:

Once the costs for each component are determined, the next step is to add up all the costs to get the total capital investment required.

Example 22.6: Total Capital Investment Required = ₹5,00,000 + ₹3,00,000 + ₹10,00,000 + ₹20,00,000 + ₹8,00,000 + ₹2,00,000 + ₹1,50,000 + ₹1,00,000 = ₹50,50,000

In this example, the total capital investment required for the project is ₹50,50,000.

Step 4: Consider Contingencies and Contingent Expenses:

To account for unforeseen expenses, potential changes in costs, or unexpected events, it is advisable to include a contingency buffer.

Example 22.7: Let us assume a contingency of 10% of the total costs: Contingency (10% of total costs) = $0.10 \times ₹50,50,000 = ₹5,05,000$

Step 5: Final Capital Investment Required:

Finally, add the contingency amount to the total costs to get the final capital investment required. **Example 22.8:** Final Capital Investment Required = ₹50,50,000 + ₹5,05,000 = ₹55,55,000

In this example, the final capital investment required for the project, including the contingency, is ₹55,55,000.

It is important to note that the capital investment required should be carefully analysed and compared with the expected returns and potential risks associated with the project. This comprehensive evaluation helps companies make well-informed decisions regarding their capital investments and ensures the efficient allocation of resources to maximise the project's success and overall company growth.

22.6.5 Forecasting Future Costs

Forecasting future costs is a crucial aspect of capital budgeting as it enables businesses to estimate the financial implications of an investment project accurately. When making capital budgeting decisions, organisations need to project the costs associated with the proposed project over its entire life cycle. Accurate cost forecasting helps in evaluating the feasibility, profitability, and risk of the investment, allowing management to make well-informed decisions. Here are some steps and considerations for forecasting future costs during capital budgeting:

- 1) **Comprehensive Project Analysis:** Start by conducting a thorough analysis of the proposed project. Understand its scope, objectives, and the resources required for successful implementation. Consider all cost elements, including initial investment, operating expenses, maintenance costs, and potential expansion or replacement costs.
- 2) **Historical Data and Benchmarking:** Use historical data from similar projects or industry benchmarks to gain insights into potential cost patterns. This data can help in making more accurate assumptions and estimates for future costs.
- 3) **Inflation and Price Fluctuations:** Account for inflation and potential price fluctuations of resources, materials, and labour over the project's duration. These factors can significantly impact project costs over time.
- 4) **Economic and Market Conditions:** Consider the current economic conditions and future market trends that could influence the cost of inputs, labour, and other resources.
- 5) **Consultation with Experts:** Engage subject matter experts and professionals who have experience in similar projects. Their insights and knowledge can provide valuable inputs for cost estimation.
- 6) **Sensitivity Analysis:** Perform sensitivity analysis by evaluating the potential impact of changes in cost assumptions on the project's financial viability. This helps identify the most critical cost drivers and the level of uncertainty in cost projections.
- 7) **Cost Breakdown Structure:** Develop a cost breakdown structure that categorises and itemises various cost components, such as direct costs, indirect costs, fixed costs, variable costs, and overheads.
- 8) **Contingency Planning:** Incorporate contingency allowances in the cost projections to account for unforeseen events and potential cost overruns.
- 9) **Cash Flow Projections:** Prepare cash flow projections that outline the timing and magnitude of costs throughout the project's life cycle. This aids in assessing the project's impact on the company's cash flow.

Check Your Progress 5

- 1) What are the factors affecting capital investments?

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- 2) Define the process of computation of capital investment.

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22.7 LET US SUM UP

The present unit discusses about Corporate Finance. Corporate finance is the area of finance that deals with the sources of funding, and the capital structure of corporations, the actions that managers take to increase the value of the firm to the shareholders, and the tools and analysis used to allocate financial resources. The primary goal of corporate finance is to maximise or increase shareholder value. There are two sources of funds for short term, medium-term and long-term needs of a company. These sources are Internal (depreciation and retained earnings) and external (loans, equities and bonds or debentures). We also discussed about Capital Structure. It refers to the composition and proportion of various sources of funds that a company employs to finance its operations, investments, and other financial activities. Components of Capital Structure are: **Owner's capital** and **Borrowed Capital**. Another concept which is crucial to understand in financial management is **Working Capital**. It is calculated by subtracting current liabilities from current assets. Working capital is determined by: nature of business, business cycle and seasonality, sales volume and growth rate, credit Policy etc. We also discussed the approaches for determining the financial mix: the hedging approach, the conservative approach, and the trade-off approach. We also discussed about Capital Budgeting and factors affecting capital investment decisions. Finally, we discussed about **computation of capital investment**. The computation of capital investment required involves calculating the total amount of funds needed to initiate and implement a specific project or investment opportunity.

22.8 KEY WORDS

- Managing Money** : Managing money is the process of overseeing and planning your income and expenses to achieve your financial goals.
- Capital Structure** : Capital structure refers to the combination of debt and equity that a company uses to finance its

operations and growth. It is the composition of long-term funds deployed by a firm.

Capital Budgeting : Capital budgeting refers to the process that companies use to make investment decisions in long-term projects and capital assets. It involves allocating capital funds to projects expected to generate profits for the company over a period.

Investment proposals : An investment proposal is a document that outlines the details of a potential investment opportunity to attract investors or funding. It serves as a formal and structured way to present key information about a business, project, or venture to convince potential investors to commit their capital.

22.9 SUGGESTED READINGS

- Graham, Benjamin. 2003. The Intelligent Investor. New York, NY: Harper Business.
- Damodaran, A. (2011). The little book of valuation: How to value a company, pick a stock and profit. John Wiley & Sons.

22.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Preference Shares, Equity Shares
- 2) Source of internal finance through its non-cash item in books, but it is a recognition of the value of the asset which will reduce each year and attempting to identify the amount of cash to set aside when the asset is no longer in use to us.
- 3) Resembling an alternative to loans, secured debentures require collateral for fund generation. Requiring no collateral, unsecured debentures are less favoured during payments compared to secured debentures.

Check Your Progress 2

- 1) Owner's capital refers to the portion of a company's assets that belongs to its owners or shareholders. Borrowed capital, also known as debt capital, refers to funds that a company raises by borrowing money from external sources, such as financial institutions, investors, or bondholders.
- 2) Business risk, tax considerations, cost of capital, market conditions, company size and life cycle, flexibility and control, asset structure,

lender and investor preferences, regulatory environment, market perception.

Check Your Progress 3

- 1) Refer to Sub-section 22.4.3
- 2) Trade Credit, Bank Loans, Commercial Paper, Factoring and Receivables Financing, Inventory Financing, Trade Advances, Equity Financing, Debt Financing, Retained Earnings, Venture Capital and Private Equity, Asset-Based Lending, Debentures.

Check Your Progress 4

- 1) Concept of Irrelevance of Dividend, Modigliani and Miller's Approach.
- 2) Capital budgeting is the process of long-term planning, encompassing proposed capital expenditures and their funding. It helps in long-term investment choices, optimal resource allocation, maximising shareholder wealth, Strategic alignment, Risk assessment, Capital rationing.

Check Your Progress 5

- 1) Market demand, competition, cost of capital, initial investment cost, cash flows, payback period, net present value (NPV), internal rate of return (IRR)
- 2) Refer to Sub-section 22.6.4

UNIT 23 FOREIGN DIRECT INVESTMENT AND FOREIGN PORTFOLIO INVESTMENT

Structure

- 23.0 Objectives
- 23.1 Introduction
- 23.2 Concept of FDI
- 23.3 Methods of FDI
- 23.4 Types of FDI
- 23.5 Routes of FDI
- 23.6 Advantages and Limitations of FDI
- 23.7 Highlights of FDI Policy, 2020
- 23.8 Concept of FPI
- 23.9 Difference between FDI and FPI
- 23.10 Categories of FPI
- 23.11 Advantages and Disadvantages of FPI
- 23.12 Eligibility Criteria of FPI in India
- 23.13 Let Us Sum Up
- 23.14 Key Words
- 23.15 Some Useful Books
- 23.16 Answers/Hints to Check Your Progress Exercises

23.0 OBJECTIVES

After going through this unit, you will be able to:

- explain the concept of FDI;
- describe the various methods and types of FDI;
- discuss the various benefits and limitations of FDI;
- state the multiple routes and regulations governing FDI;
- explain the concept of FPI;
- differentiate between FDI and FPI;
- state the various benefits of FPI; and
- explain the provisions concerning FPI.

23.1 INTRODUCTION

Developing countries like India are attractive destinations for Foreign Direct Investment (FDI). FDI is an important source of external private finance. FDI is a way of integrating international economics as it creates and promotes stable and long-lasting links between economies. It offers the following major benefits to economies: a) promotes international trade through access to foreign markets, b) facilitates the technology transfer between countries, c) leads to economic development, and d) creates job opportunities. During the financial year 2021-22, India received foreign direct investment inflows of USD 82.274 billion and USD 54.934 billion in the first three quarters of the financial year 2022-23. Various initiatives like policy reforms, relaxation in regulations etc. are being taken to boost foreign investment.

Similarly, Foreign Portfolio Investment (FPI) is essential in modern economies with a sophisticated financial system. FPI allows foreign parties to invest in financial assets and instruments in the host country. This has a positive bearing on the price of domestic assets.

23.2 CONCEPT OF FDI

Foreign direct investment (FDI) can be defined as an investment made outside the home country where an investor resident in one country invests in another country in a way that establishes a long interest in and a high degree of influence over an enterprise. Through such investment, the investor owns 10 per cent or more of the voting power and thereby can exercise a high degree of influence in the management and operations of the foreign business.

Definition of FDI

The International Monetary Fund (IMF) defines FDI as: “A category of international investment that reflects the objective of a resident entity in one economy (direct investor or parent enterprise) obtaining a lasting interest and control in an enterprise resident in another economy (direct investment enterprise)”.

FDI or ‘Foreign Direct Investment’ means investment through capital instruments by a person resident outside India in an unlisted Indian company, or in ten per cent or more of the post-issue paid-up equity capital on a fully diluted basis of a listed Indian company.

23.3 METHODS OF FDI

The most common methods of Foreign Direct Investment (FDI) are:

- 1) **Greenfield Investment:** It refers to a type of investment where a foreign entity like a company, an individual, or an organization, invests in

another country by establishing a new business or by expanding its existing operations. For example, in the year 2019 Samsung which is a South Korean company invested \$500 million in India to set up a mobile phone manufacturing plant in Noida, Uttar Pradesh, for manufacturing smartphones and other electronic devices.

- 2) **Mergers and Acquisitions (M&A):** It refers to investing (FDI) for acquiring or merging with an existing foreign company. For example, in the year 2017 Vodafone which is a British Telecommunications Company merged its Indian operations with Idea Cellular and thus created one of the largest Telecom service providers in India.
- 3) **Joint Ventures:** Foreign Direct Investment (FDI) in joint ventures is a popular business in India. It allows foreign companies to collaborate and invest in various sectors of the Indian economy. For example, General Electric (GE) formed a joint venture with the Indian conglomerate Tata Group in 2015 to create Tata Consultancy Services (TCS), a business process outsourcing company.
- 4) **Subsidiary Companies:** FDI in subsidiary companies results in establishing a wholly-owned subsidiary in a foreign country. For example, Suzuki Motor Corporation owns a majority stake in Maruti Suzuki India Ltd., a subsidiary that manufactures and sells cars in India.

23.4 TYPES OF FDI

The various types of FDI are:

- 1) **Horizontal FDI:** Investing funds in a company other than the domestic company that belongs to the same industry as that owned or operated by the FDI investor is called horizontal FDI. In other words, when a company initiates a similar operation or business model in another country, it refers to Horizontal FDI. For example, suppose a foreign company manufacturing apparel invests in or purchases an Indian company dealing in the same line of business which is apparel. Both companies belong to the same industry which is apparel, such FDI is therefore an example of horizontal FDI.
- 2) **Vertical FDI:** This form of FDI refers to the investments that are made within a supply chain in a company, which may or may not belong to the same industry. It occurs when a multinational acquires an operation that either acts as a supplier or distributor. It can be said that when vertical FDI happens, a business invests in an overseas firm which may supply or sell products.

Vertical FDIs can take two ways backward vertical integration and forward vertical integration. For example, A foreign fast-food chain invests in agricultural operations in India to secure a steady supply of fresh produce like vegetables and meat for its restaurant outlets.

Forward integration in FDI involves a foreign company expanding its operations downstream in the supply chain. This means getting involved in distribution, marketing, or retail activities. For example, a foreign pharmaceutical company opens its own pharmacies or healthcare clinics in India to sell its medicines directly to patients, bypassing traditional distribution channels.

- 3) **Conglomerate FDI:** Such a form of FDI occurs when a company invests in a company other than the domestic company that is a counterpart of the investing company. The company that is invested in belongs to an altogether different industry. Such investments help in creating more niches or to begin a new business in another country. For example, General Electric has engaged in conglomerate FDI over the years. The company has invested in various industries like aviation, healthcare, renewable energy, and financial services.
- 4) **Platform FDI:** It refers to investments made by multinational corporations in a specific location referred to platform to serve as a base for conducting different business activities and expanding their operations both regionally and globally. These platforms act as hubs for manufacturing, services, research and development, and more. Many global IT giants, including IBM, Microsoft, and Accenture, have set up extensive operations in India. These companies use India as a platform for software development, IT consulting, and application maintenance services, serving clients worldwide.

Check Your Progress 1

- 1) Define Foreign Direct Investment.

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- 2) Examine the different methods of Foreign Direct Investment (FDI).

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- 3) Explain the different types of Foreign Direct Investment.

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